# V2 fiscal model — Retirement Bridge and Retirement Incentive

*Policy Director · built 12 October 2026 · internal, pre-decisional · MOO-100*

Governed by V2-goal-set.docx / .pdf. Built to G10 (ranges, not a forecast), G11 (three separate ledgers), G12 (pathways priced separately), G13 (no "minimal impact" claim), G23 (facts separated from assumptions) and G25 (primary sources, dated).

Two board decisions are applied here, both dated 12 October 2026:

| Decision | Applied as |
|---|---|
| Keep 177,807 as the system-wide context figure; make the state-agency Plan 1/Plan 2 count the modeling denominator | Stage A below. 177,807 appears nowhere in the arithmetic. |
| Reach bounds: low 5% / mid 12% / high 25% take-up | Stage E below. |

Nothing in this document is a VRS actuarial result. Ledger 1 deliberately stops at the member payment and expresses the trust-fund cost as a ratio VRS must supply. That is the G13 discipline, not a gap in the work.

**Amendment 1, 12 October 2026 — §6.1 added**, recording that both pathway pools are a 30 June 2025 snapshot and understate. No figure in sections 0 to 5 changed. Found while building V2-annex-VaLORS-prescore.

---

## 0. Headline

| | Low | Mid | High |
|---|---|---|---|
| Participants over the four-year pilot | 17 | 42 | 86 |
| — Retirement Incentive | 12 | 30 | 62 |
| — Retirement Bridge | 5 | 12 | 24 |
| Member payments into the trust fund | $231,000 | $555,000 | $1,156,000 |
| Trust-fund subsidy, if actuarial cost is 2× ANC | $231,000 | $555,000 | $1,156,000 |
| Agency payroll saving, annual run-rate (replacement at 85%, 3% not refilled) | $287,000 | $690,000 | $1,437,000 |

Reach on the mid case is 42 veterans over four years out of 28,994 Plan 1/Plan 2 state employees. The three dials are take-up (board-set), veteran share, and share holding qualifying purchasable service. Moving all three together instead of take-up alone gives a range of 9 to 141 — section 6.

---

## 1. Stage A — the denominator

Source of record: VRS *Annual Actuarial Valuation, June 30, 2025*, "Active Participant Detail," p. 49, and "Active Participants — Tabulated by Age and Total Service — State Employees," p. 50. Retrieved 12 October 2026.

| Verified fact | Value |
|---|---|
| Active participants, VRS State Employees plan | 81,274 |
| Annual compensation | $6,275,603,114 |
| Average annual compensation | $77,215 |
| Average age | 46.9 |
| Average total service | 11.0 |
| Average entry age | 36.8 |

Plan-tier split. VRS does not publish the State Employees plan broken out by Plan 1 / Plan 2 / Hybrid. G24 asks for exactly that count. Until it arrives, the split is derived from the published age × total-service table using the statutory tier boundaries:

- Plan 1 — hired before 1 July 2010 → total service ≥ 15.0 years at 30 June 2025
- Plan 2 — hired 1 July 2010 to 31 December 2013 → total service 11.5–15.0 years
- Hybrid — hired on or after 1 January 2014 → total service < 11.5 years

| Tier | State employees (derived) | Average salary |
|---|---|---|
| Plan 1 | 20,872 | $83,307 |
| Plan 2 | 8,122 | $81,071 |
| Plan 1 + Plan 2 — the modeling denominator | 28,994 | $82,680 |
| Hybrid (excluded by G15) | 52,280 | $74,184 |

This is materially smaller than the pro-rata illustration. The earlier note in V2-goal-set.docx / .pdf §6.2(a) estimated roughly 39,000 Plan 1/Plan 2 state employees by applying the system-wide plan mix. The derived figure is 28,994 — about 26% lower. State service churns faster than the teacher population, so it is more Hybrid-weighted than the system as a whole. Every participant figure below would be overstated by a third if the pro-rata number were used.

Known weaknesses of the service proxy, all resolved by the G24 count: a member who refunded and returned, bought prior service, or had a break in service can hold total service that does not match their hire date. Section 6 tests the boundaries; the derived total moves between 26,964 and 28,994 and the pathway pools move by less than 3%.

Scope note — decision 4 applied. This is the VRS State Employees (non-hazardous-duty) plan only. State Police (1,902), Judicial (473) and Virginia Law Officers (7,459) are separate state plans with much higher approximate-normal-cost price rates — 23.78% hazardous and 31.97% judicial against 12.50% for Plan 1 non-hazardous, so roughly 1.9× and 2.6× the price per year purchased. The board decided

on 12 October 2026 to exclude them and to state the exclusion expressly in the bill. This is no longer a gap in the goal set; it is a scope decision carried in G20 and in the drafting request.

---

## 2. Stage B — who each pathway can actually reach

Computed cell by cell from the p. 50 age × service table, using the statutory eligibility rules, both verified verbatim:

- Plan 1 unreduced: "age 65 with at least five years of service credit or at age 50 with at least 30 years of service credit" — VRS Plan 1 Handbook for Members, Unreduced Retirement.
- Plan 2 unreduced: "normal Social Security retirement age with at least five years of service credit or when your age and service credit equal 90" — VRS Plan 2 Handbook for Members, Unreduced Retirement. Modeled at age 67.

### 2.1 The finding that should change how G9 is used

G9 screens on members "within 4 years of the unreduced threshold." For the Incentive that screen is irrelevant — the Incentive cohort is already past the threshold. For the Bridge that screen is simply the wrong test, and it roughly doubles the pool.

Purchased service credit adds service. It does not add age. So the Bridge can only help a member whose eligibility path is service-based:

- Plan 1's age 50 + 30 years rule — purchasable, if the member is already 50 or older.
- Plan 2's Rule of 90 — purchasable in principle.
- Plan 1's age 65 rule and Plan 2's age-67 rule — not purchasable at any price. A 61-year-old Plan 1 member with 12 years of service is "within 4 years of the threshold" and cannot be bridged at all. Four years of military credit moves their eligibility date by zero days.

| Screen | Plan 1 | Plan 2 | Total |
|---|---|---|---|
| G9 as written — within 4 years of the threshold | 4,635 | 542 | 5,177 |
| Can actually be bridged — reaches the threshold today with ≤48 months purchased | 2,396 | 0 | 2,396 |

The G9 screen overstates the Bridge pool by 2.2×. Decision 3, taken 12 October 2026: the purchasable screen governs. The Bridge population is "members who can reach the unreduced threshold by purchasing up to 48 months of service credit" — 2,396. G9's "within four years" screen is retired as a Bridge figure; it may appear in a fiscal note only if labelled as the superseded screen, with the reason. No goal text changed; the application did.

### 2.2 The Bridge is a Plan 1 mechanism

Plan 2 Bridge population: zero. Not small — structurally zero, and it will stay zero for the whole pilot. A Plan 2 member holds at most 15.5 years of service. Rule of 90 therefore needs age 74.5 or more, and anyone that old already qualified at 67 under the age rule, which puts them in the Incentive pathway. There is no Plan 2 member for whom buying service accelerates eligibility.

G2 names Plan 1 and Plan 2 for the Bridge. That is correct drafting — Plan 2 members should be legally eligible — but the fiscal note must say the expected Plan 2 Bridge count is zero, or VRS will

reasonably reserve for a population that does not exist. Decision 5(a), taken 12 October 2026: confirmed. Plan 2 stays legally eligible and is scored at zero for the whole pilot. The zero is a feature of the calendar, not of the plan — Plan 2 members keep accruing service, so a Plan 2 Rule-of-90 Bridge cohort does eventually exist. It does not exist inside a pilot running 2027–2031.

### 2.3 Pathway pools

| Pool | Count | Average salary | Composition |
|---|---|---|---|
| Incentive — already eligible for unreduced retirement | 6,254 | $84,753 | Plan 1 5,928 (94.8%) · Plan 2 326 |
| Bridge — reaches the threshold with ≤48 months purchased | 2,396 | $83,222 | Plan 1 2,396 · Plan 2 0 |
| Combined pathway-eligible | 8,650 | $84,329 | 29.8% of the 28,994 denominator |

Months the Bridge members need: modeled average 24.0 months, spread uniformly 1–48. Treat the spread as an artefact, not a finding — the entire Bridge pool sits inside the published "25–29 years" service band at ages 50–64, so a uniform assumption inside that band produces a uniform months-needed distribution by construction. G24's "average qualifying military months" and the real service distribution both bear on this. The average of 24.0 is robust; the shape is not.

### 2.4 How the derived cohorts compare with G9's planning assumptions

G23 requires the 25/13/35/12 percentages to be labelled assumptions. They now have something to be checked against:

| | G9 assumption | Derived from VRS table | Read |
|---|---|---|---|
| Plan 1 already beyond threshold | 35% | 28.4% | Assumption is ~23% high. Close enough to use. |
| Plan 1 within 4 years | 25% | 22.2% | Good. |
| Plan 2 already beyond threshold | 12% | 4.0% | Assumption is 3× high. |
| Plan 2 within 4 years | 13% | 6.7% | Assumption is 2× high. |

The Plan 1 assumptions hold up. The Plan 2 assumptions do not, and the reason is structural: Plan 2 members cannot have more than 15.5 years of service, so almost none of them are near either eligibility rule. Decision 5(b), taken 12 October 2026: the Plan 2 percentages of 12% and 13% are withdrawn from every V2 document and must not be quoted again. The derived 4.0% and 6.7% govern, labelled *derived from the published VRS age × total-service table* — stronger than "assumption," still not a VRS finding. Plan 1's 25% and 35% stand as assumptions under G23, and G24 remains the final word on all four.

---

## 3. Stage C and D — the two filters I cannot verify

### 3.1 Veteran share

| Value | Basis | Use |
|---|---|---|
| 6% | Verified. "Veterans 6% / Non-Veterans 94%" of the classified state workforce — DHRM, *State Employee Workforce, Compensation, Health Benefits*, presentation to the Senate Finance and Appropriations Committee, 21 January 2025, slide 8, sourced to DHRM EPR Reports 06/30/2024. | Low |
| 8% | Verified reference point, applied by judgment. Veterans were 369,000 of Virginia's 4,528,987 civilian labour force in 2025 — 8.1% — from BLS Table 6A, Employment status of veterans by state, 2025 annual averages and FRED LAUST510000000000006A. | Mid |
| 10% | Judgment, not a source. Reflects two things pushing the real figure above the recorded 6%: the veteran-status field is badly under-recorded, and both pathway cohorts are the oldest in the workforce, where veteran share runs higher than the labour-force average. | High |

The gap between 6% and 8.1% is the live question, and it matters more than it looks: it is a straight multiplier on every participant count in this model. The DHRM 6% is a *recorded* share, from the same field V1 found reads "unknown" for 69% of members. Treat 6% as a floor, not a central estimate. G24 resolves it.

### 3.2 Share holding qualifying, purchasable, unpurchased military service

Assumption. No source. The weakest number in the model. A veteran must clear all four of the G6 conditions and still have the service available:

- at least 180 consecutive days of full-time active duty;
- discharge not dishonorable;
- the service does not qualify them for a military pension at the time of purchase (Reserves and National Guard exempt);
- the 48-month cap not already consumed, and the service not already purchased.

Modeled at 35% low / 50% mid / 65% high. A 20-year military retiree drawing a pension is excluded outright, which removes a meaningful slice of the veteran population — and the slice most likely to be in a senior state job. G24's "members with qualifying military service available for purchase" is the item that replaces this guess, and it is the single highest-value line in the data request.

---

## 4. Stage E — reach (board decision applied)

Take-up 5% / 12% / 25% of the qualified veteran pool over the four-year pilot, per the board's decision of 12 October 2026. Held here against veteran share 8% and qualifying share 50%, so that take-up is the only thing moving:

| Take-up | Incentive | Bridge | Total | Member payments |
|---|---|---|---|---|
| 5% (low) | 12.5 | 4.8 | 17.3 | $231,218 |
| 12% (mid) | 30.0 | 11.5 | 41.5 | $554,922 |
| 25% (high) | 62.5 | 24.0 | 86.5 | $1,156,088 |

Full funnel, mid case: 28,994 state Plan 1/Plan 2 members → 8,650 pathway-eligible → 692 veterans → 346 with qualifying purchasable service → 42 participants.

---

## 5. The three ledgers (G11)

### Ledger 1 — VRS pension impact

Price the member pays. Verified rates. VRS, *Purchase of Prior Service Cost Rates*, effective July 1, 2025, retrieved 12 October 2026 — rate for State, Teacher and Local Non-Hazardous Duty positions, "other types of eligible service up to two years from date of hire":

| Tier | Approximate normal cost | Per year purchased |
|---|---|---|
| Plan 1 | 12.50% of salary | — |
| Plan 2 | 10.74% of salary | — |
| Hybrid (excluded) | 6.68% | — |

Charged on "their given rate of creditable compensation or average final compensation at the time of purchase, whichever is higher," so these are floors.

| Pathway | Years purchased at ANC | Average salary | Member pays |
|---|---|---|---|
| Incentive (G3, G18 — 12 months maximum) | 1.00 | $84,753 | $10,514 |
| Bridge (G2, G18 — only the months needed) | 2.00 (modeled average) | $83,222 | $20,806 |

Cost to the trust fund. Expressed as a ratio, because only VRS can set it. VRS defines actuarial-equivalent cost as the present value of the higher benefit or earlier eligibility that the purchased service creates. Let k = actuarial-equivalent cost ÷ approximate normal cost for this cohort. The subsidy the pilot grants is then (k – 1) × member payment:

| k | AE value of service granted | Member pays | Trust-fund subsidy |
|---|---|---|---|
| 1.5 | $832,383 | $554,922 | $277,461 |
| 2.0 | $1,109,844 | $554,922 | $554,922 |
| 2.5 | $1,387,306 | $554,922 | $832,383 |
| 3.0 | $1,664,767 | $554,922 | $1,109,844 |

Mid take-up, 42 participants. Scale linearly: multiply by 0.42 for low take-up, 2.08 for high.

k will be high for this cohort and we should say so first. Actuarial-equivalent cost rises sharply with age, and both pathways are deliberately aimed at the oldest members in the plan — Bridge participants average 50–64, Incentive participants 65 and over. The pathways select for exactly the members for whom ANC understates the true price by the widest margin. Asking VRS for k is the first question in the drafting request, and k is the number that decides whether this bill is affordable.

Illustrative benefit effects — not an actuarial result. Multipliers verified: Plan 1 1.7%; Plan 2 1.65% on service purchased on or after 1 January 2013.

| | Effect |
|---|---|
| Bridge, per participant | +$2,830/year for life (2.00 yr × 1.70% × $83,222), plus retirement commencing up to 24 months earlier than the threshold would otherwise allow |
| Incentive, Plan 1, per participant | +$1,438/year for life (1.00 yr × 1.70% × $84,616) |
| Incentive, Plan 2, per participant | +$1,439/year for life (1.00 yr × 1.65% × $87,242) |

The Bridge carries both effects. The Incentive carries only the first — it is a benefit enhancement with no eligibility acceleration, which is the §6.2(c) problem in V2-goal-set.docx / .pdf restated with a price on it. The true-up in G5 is the only mechanism tying the Incentive to a retirement outcome.

Not modeled, and VRS must supply: the actual AE/ANC ratio by age and tier; the PV cost of earlier benefit commencement net of forgone accrual and forgone member contributions; true-up recoveries from participants who do not retire; mortality and COLA. Four of the five are G12 line items already.

## Ledger 2 — Employer and workforce impact

Separate from Ledger 1. Agency appropriations, not the trust fund.

Employer costs that scale with salary. VRS valuation, June 30, 2025, State Employees, Employer Contribution Rate Development, p. 12, FY2027 and FY2028:

| Component | Rate | Is it a saving when payroll falls? |
|---|---|---|
| Employer normal cost | 4.34% | Yes |
| Administrative expense | 0.24% | Yes |
| Amortization of unfunded liability | 6.49% | No — see below |
| Employer DB contribution rate | 11.07% | |
| FICA | 7.65% | Yes |

The 6.49 points must not be counted as a saving, and this is a trap a fiscal note will fall into. The amortization component is a percentage-of-payroll charge against a fixed dollar unfunded liability — $6.05 billion for State Employees at 30 June 2025. Cutting covered payroll does not cut that liability by a cent. It cuts the dollars collected against it, and the rate has to rise later to make up the shortfall. Showing 11.07% as avoided cost would book a timing cost as a saving. The honest scalable multiplier is 1 + 4.34% + 0.24% + 7.65% = 1.1223.

Annual run-rate at full enrolment. Positions not refilled save the whole package; refilled positions save only the salary difference. No double counting.

Mid take-up — 41.5 retirements, average salary $84,329:

| Not refilled | Replacement at 80% | at 85% | at 90% |
|---|---|---|---|
| 1% | $817,385 | $622,863 | $428,341 |
| 3% | $880,261 | $689,669 | $499,076 |
| 5% | $943,136 | $756,474 | $569,812 |

Low take-up — 17.3 retirements:

| Not refilled | 80% | 85% | 90% |
|---|---|---|---|
| 1% | $340,577 | $259,526 | $178,475 |
| 3% | $366,775 | $287,362 | $207,948 |
| 5% | $392,974 | $315,198 | $237,421 |

High take-up — 86.5 retirements:

| Not refilled | 80% | 85% | 90% |
|---|---|---|---|
| 1% | $1,702,885 | $1,297,631 | $892,377 |
| 3% | $1,833,876 | $1,436,809 | $1,039,742 |
| 5% | $1,964,868 | $1,575,988 | $1,187,107 |

Where the saving comes from — G10 requires this breakdown. At mid take-up, replacement at 85%, 3% not refilled:

| Source | Annual | Share |
|---|---|---|
| Salary compression on replacement | $571,776 | 82.9% |
| Positions not refilled | $117,892 | 17.1% |
| Total | $689,669 | |
| Memo: amortization dollars no longer collected — a timing cost, not a saving | $39,882 | |

Not modeled: health insurance (roughly per-head, so it saves only on unfilled positions — needs the current state premium); leave payout at separation, which is a one-time cost against the ledger; vacancy and training cost during transition; the possibility that a senior position cannot be filled at 85% in a tight market.

## Ledger 3 — Net Commonwealth

Mid take-up, replacement at 85%, 3% not refilled, k = 2.0:

| Line | Amount | Where it lands |
|---|---|---|
| Member payments received | +$554,922 | VRS trust fund, one-time |
| Trust-fund subsidy granted at k = 2.0 | –$554,922 | VRS trust fund, actuarial |
| Cost of earlier benefit commencement (Bridge) | not quantified | VRS trust fund |
| Agency payroll saving | +$689,669 / year | Agency appropriations |
| Amortization dollars no longer collected | –$39,882 / year | VRS trust fund, timing |
| Program administration | not quantified | VRS and DHRM operating |

G11 holds here without exception. The payroll saving is not money in the trust fund. It is agency appropriation.

Decision 6, taken 12 October 2026: the bill carries no transfer mechanism. The saving stays in agency appropriations and is presented as a separate Commonwealth benefit. No headline, table, brief or item of testimony nets Ledger 2 against Ledger 1 — not provisionally, not in a footnote, not anywhere.

What that gives up, stated plainly: about $690,000 a year recurring at mid take-up against a one-time $555,000 member payment is the strongest fiscal argument available for this bill, and it cannot be used as an offset. We accept that, because a netted headline is the fastest way to lose the VRS actuary, and once lost it does not come back. What we may still say is that the Commonwealth gets two things — a bounded trust-fund cost that VRS prices, and a separate recurring general-fund payroll saving — in two columns that are never summed.

G22 still requires the annual report to measure employer payroll savings, replacement salary, whether the position was refilled, and positions not refilled. So if a future General Assembly wants a transfer mechanism at reenactment in 2031, it will argue from four years of Virginia data rather than from this model.

### Ledger 4 — Administration (G14)

Not quantified. Needs VRS and DHRM to cost: eligibility determination per applicant, the two pathway calculations, the six-month retirement check, true-up assessment and collection, payroll-system changes, and the G22 annual report. V1's $375,000 estimate does not carry over — it priced a queue and a certified-subsidy reservation that no longer exist. Keep this ledger visible and empty rather than filling it with a number we cannot defend.

---

## 6. Sensitivity

Tier proxy and Social Security age. The derived outputs are stable:

| Variant | Plan 1 + Plan 2 | Incentive pool | Bridge pool |
|---|---|---|---|
| Base — Plan 1 ≥15.0, Plan 2 ≥11.5, SSA 67 | 28,994 | 6,254 | 2,396 |
| SSA age 66 | 28,994 | 6,355 | 2,396 |
| Boundaries +0.5 yr | 26,964 | 6,173 | 2,396 |
| Boundaries −0.5 yr | 28,994 | 6,308 | 2,396 |

The Bridge pool is 2,396 under every variant. The Incentive pool moves 1.3%. The denominator moves 7%.

All three dials moved together. The take-up grid in section 4 holds veteran share and qualifying share at their central values. Moving all three gives the true range:

| Scenario | Veteran | Qualifying | Take-up | Incentive | Bridge | Total |
|---|---|---|---|---|---|---|
| Low | 6% | 35% | 5% | 6.6 | 2.5 | 9 |
| Mid | 8% | 50% | 12% | 30.0 | 11.5 | 42 |
| High | 10% | 65% | 25% | 101.6 | 38.9 | 141 |

9 to 141 is the honest range, and a 15× spread is not a presentable fiscal note. Two of the three dials are data requests, not judgments. G24 collapses the range; nothing else will.

### 6.1 Both pathway pools are a snapshot, and they understate

**Added 12 October 2026, amendment 1.** The screens in section 2 ask who is eligible, or reachable, at 30 June 2025 — the valuation date. The pilot would run four years, during which every member ages and accrues service. Both pools therefore understate, and the direction of the error is known rather than uncertain.

The scale was measured on the VaLORS table in V2-annex-VaLORS-prescore §3.2, by rolling the published table forward on both axes. For that plan the combined pathway pool rises **20% at the mid-point of a four-year pilot and 41% by the end**. VaLORS and State Employees have different eligibility rules, so the VaLORS percentage is an indication of order and not a figure to apply to 6,254 and 2,396. We have not run the roll-forward on the State Employees table, and we should not publish a number we have not computed.

**What this means for the figures in this model.** Our pools, and therefore every participant count derived from them, are floors on this axis. That is the honest direction for an advocacy model to err, and it is the opposite of the direction a sceptical reader will assume we erred in. **Say it before it is found.** Item 5 of the data request now states the limitation to VRS and asks, if VRS can do it, for the two pathway counts projected to the pilot years rather than as at the valuation date.

This limitation is independent of the three dials in section 4 and does not widen the 9-to-141 range. It shifts the base the dials act on.

---

## 7. The five questions put to the board — all answered 12 October 2026

The board took the recommended reading on every one. Each is restated below with its answer. V2-decisions-adopted carries the full reasoning and the drafting consequences.

1. ✅ Do the hazardous-duty and judicial state plans take part? — Excluded, expressly. State Police (1,902), Virginia Law Officers (7,459) and Judicial (473) are state employees under any plain reading of G20, and the goal set was silent. It mattered in three directions: veterans are likely over-represented in corrections and law-enforcement roles; their approximate-normal-cost price rates are far higher (Plan 1 hazardous 23.78%, judicial 31.97% against 12.50% — roughly 1.9× and 2.6× the price per year purchased, not purchase-participation rates); and their eligibility rules differ, which changes who the Bridge can reach. Decided: excluded, with the exclusion stated expressly in the bill so the omission reads as a design choice. Expect a floor amendment to add VaLORS and have it pre-scored at that multiple before it is offered.
2. ✅ Confirm the Bridge screen — the purchasable screen, 2,396. "Can reach the threshold with ≤48 months purchased," not G9's "within 4 years of the threshold" (5,177). Section 2.1. The smaller, defensible pool was chosen over the larger one, at a cost of about 24% of total participants. Say that in the fiscal note rather than leave it to be found.
3. ✅ Confirm the Plan 2 Bridge is scored at zero — confirmed. Legally eligible under G2, fiscally zero. Section 2.2.
4. ✅ Retire the Plan 2 retirement-proximity assumptions (12% / 13%) in favour of the derived 4.0% / 6.7% — retired. Section 2.4.
5. ✅ Where does the payroll saving go? — nowhere. No transfer mechanism. It stays in agency appropriations and never offsets. Ledger 3 above.

What remains open is not a board question. k from the VRS actuary, the G24 counts, the G5 collectability opinion from VRS counsel, a V2 administrative-cost estimate, and the DHRM health premium. Section 8 lists them with owners.

---

## 8. What unblocks this model

| Need | Owner | Blocks |
|---|---|---|
| k — the AE/ANC ratio by age and tier for both pathways | VRS actuary | Ledger 1 entirely. The single most important number. |
| Active Plan 1 / Plan 2 state employee counts (G24) | VRS | Replaces the derived 28,994. |
| Known veterans among them (G24) | VRS / DHRM | The 6%–10% dial. |
| Members with qualifying purchasable military service (G24) | VRS | The 35%–65% dial — the weakest number in the model. |
| Average qualifying military months (G24) | VRS | Bridge feasibility and the months-needed shape. |
| Is the G5 true-up collectable? | VRS counsel | Whether the Incentive has any retirement consideration at all. |
| Administration cost | VRS / DHRM | Ledger 4. |
| Current state health-insurance premium per employee | DHRM | Ledger 2 unfilled-position line. |
| Counts projected to the pilot years, not the valuation date | VRS | Both pathway pools are a 30 June 2025 snapshot and understate — §6.1 |

---

## 9. Sources

All retrieved 12 October 2026.

| Source | Used for |
|---|---|
| VRS, *Annual Actuarial Valuation, June 30, 2025* — p. 49 Active Participant Detail, p. 50 age × service table, p. 12 State Employees contribution rate | Denominator, cohorts, employer rates, UAAL |
| VRS, *Purchase of Prior Service Cost Rates*, eff. July 1, 2025 | ANC rates 12.50% / 10.74% / 6.68%; hazardous and judicial rates |
| VRS Plan 1 Handbook for Members | Plan 1 unreduced eligibility; 1.7% multiplier; 36-month AFC |
| VRS Plan 2 Handbook for Members | Plan 2 unreduced eligibility; 1.65% / 1.7% multiplier; 60-month AFC |
| VRS, Purchase of Prior Service — Cost Windows | Two-year window; actuarial-equivalent pricing after |
| VRS, Purchase of Prior Service — Types of Service | 48-month active-duty maximum and conditions |
| VRS, Purchase of Prior Service — Payment Methods | 6–12 month agreement; 4 months credit per month |
| DHRM, presentation to Senate Finance and Appropriations, 21 January 2025, slide 8 | Veterans 6% of classified state workforce (data as of 30 June 2024) |
| BLS Table 6A, veterans by state, 2025 annual averages | Virginia veteran civilian labour force 369,000 |
| FRED LAUST510000000000006A | Virginia civilian labour force 4,528,987 (2025) |
| VRS 101 brochure, p. 4 | System-wide context only: Plan 1 110,474, Plan 2 67,333, 864 employers |

Assumptions, labelled as such per G23: veteran share above the recorded 6%; the 35%–65% qualifying-service share; the service-based tier proxy; Plan 2 normal Social Security age of 67; uniform distribution within the published age and service bands; salary as a proxy for AFC; k as a ratio rather than a computed value.